Overnight versus Intraday Returns of US Mega-Cap Stocks

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the mean overnight return does not exceed the mean intraday return; H_1: it does

Data: 2,513 sessions of 35 US mega-caps, 2016-10-25 to 2026-10-23; 0 stock-days with a half-day move beyond 50% dropped as data errors

Method: Open adjusted by the close adjustment factor; equal-weight daily averages; one-sided recentred stationary bootstrap of the mean difference (5,000 draws, block 10)

Results: Mean overnight 6.51 bp versus intraday 2.91 bp per day (difference 3.60 bp, $p = 0.0604$); annualised 16.8% versus 6.5%.

Research decision: REJECTED

1 Design

The decomposition follows Cliff et al. [2008]: the open is scaled by the dividend and split factor of the same day so that the overnight and intraday legs multiply to the adjusted close-to-close return. Equal weights across the available stocks give two daily series whose mean difference is tested.

2 Results

Table 1: Mean daily overnight and intraday return of the equal-weight portfolio

Year	Overnight	Intraday
2016	0.132%	0.045%
2017	0.089%	0.024%
2018	0.060%	-0.046%
2019	0.060%	0.068%
2020	0.120%	0.016%
2021	0.101%	0.031%
2022	-0.058%	0.008%
2023	0.030%	0.115%
2024	0.107%	0.002%
2025	0.056%	0.053%
2026	0.073%	0.014%

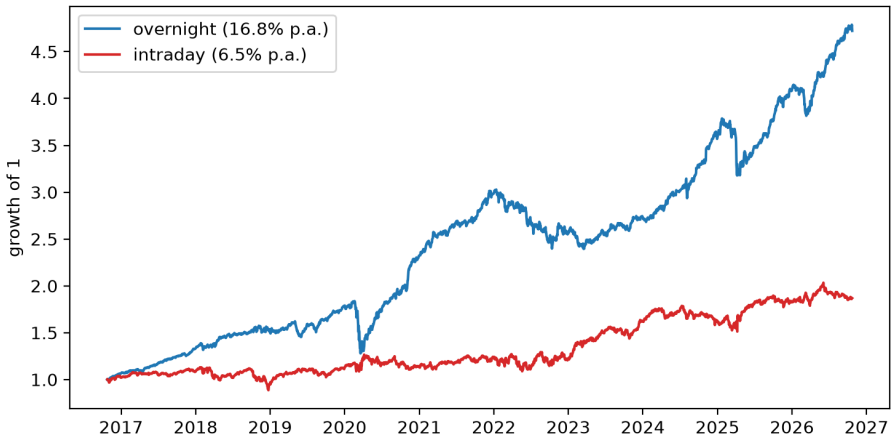


Figure 1: Growth of one unit earned only overnight and only intraday.

3 Limitations

Opening prices on Yahoo Finance are official opening auctions; they exclude pre-market trades, so the overnight leg is the return to the opening auction, which is tradable only with market-on-open orders. The universe is today's mega-caps (survivorship) and costs are not modelled.

References

Michael Cliff, Michael J Cooper, and Huseyin Gulen. Overnight and intraday returns. *Working paper, Virginia Tech*, 2008.